

Notes: Accominotti, Albers, and Oosterlinck (RFS, 2024)

Selective Default Expectations

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1 Big picture

- **Question.** How do selective default expectations affect sovereign bond prices? The paper asks whether investors price the possibility that a debtor government will default on some foreign creditors but not on others.
- **Setting.** Germany’s external debt crisis of the 1930s. The authors study the sterling tranche of the Dawes loan, an identical German government bond traded in London, Paris, Amsterdam, and Zurich from 1930 to 1939.
- **Core empirical design.** The key design is “same bond, different creditor markets.” Before June 1934, investors could arbitrage Dawes bonds across countries. After Germany announced a transfer moratorium, creditor governments segmented secondary markets through affidavit rules, so creditor identity became sticky and selective default risk could be priced.
- **Main result.** Once markets were segmented, London Dawes bonds traded at persistently lower yields than the same bonds on continental markets. The mean London–Paris yield spread reached 6.3 percentage points in 1934–1939 even though French and British bondholders still received identical cash flows until 1938.
- **Quantitative conclusion.** Selective default risk accounted for about one-third of the total spread of German external bonds over the risk-free rate on continental markets during the second half of the 1930s.
- **Mechanism.** Investors treated British creditors as senior because Germany was much more dependent on the United Kingdom than on continental creditors for trade, raw materials, and financial intermediation. A default on British bondholders would have triggered much costlier retaliation.
- **Dynamic result.** Selective default risk moved strongly with bilateral political and economic news. Good news for British creditors increased conditional selective-default risk for junior creditors; good news for a junior creditor reduced it.
- **Why this paper matters.** The paper gives a rare direct measurement of selective default risk using identical bonds. It also provides a clean empirical test of the idea that secondary markets prevent discrimination unless governments segment them.

2 Data and measurement (key objects)

2.1 Bond-level price data

- **Security studied.** The German External Loan of October 1924 (the Dawes loan), specifically the sterling tranche. The bonds were identical across markets: same currency (GBP), same contractual maturity (October 1949), same original coupon (7%), and no gold clause.
- **Markets.** London, Paris, Amsterdam, and Zurich. These are the four active European markets for the sterling Dawes bond central to the paper.
- **Sample period.** Daily prices from January 1930 to August 1939.
- **Main price-based variable.** Yield-to-maturity computed from bond prices and prevailing coupon schedules.

- **Coupon changes.** The German government sequentially reduced coupon payments by creditor country: Swiss bondholders in April 1935, Dutch bondholders in June 1935, and British and French bondholders in July 1938. Swiss and Dutch investors partially received payment in “Dawes Marks,” so the yield calculations incorporate both cash and in-kind repayment values.

2.2 Risk-free benchmark and liquidity benchmark

- **Risk-free asset.** The British Consol is used as the long-term international risk-free benchmark.
- **Liquidity benchmark.** The British Consol also serves as a comparison asset when assessing whether cross-market yield spreads could just reflect liquidity rather than selective default risk.

2.3 Archival data on market segmentation and bond circulation

- **Archival contribution.** The paper collects archival information on the quantities of Dawes bonds outstanding in different markets and on the nationality-specific settlement rules adopted after June 1934.
- **Why this matters.** The archive evidence allows the authors to show not just that prices diverged, but that physical arbitrage of Dawes bonds across borders effectively stopped after segmentation.
- **Tranche-circulation data.** The authors trace the shares of British, French, Dutch, Belgian, and Swiss sterling tranches held in London, Paris, Amsterdam, Zurich, Brussels, and Rome/Stockholm in 1924, 1934, and 1936.

2.4 Market segmentation rules

- **Institutional break.** After Germany’s June 14, 1934 transfer moratorium, creditor-country governments required affidavits or certifications showing that bonds traded domestically had already been held by domestic residents at the moratorium date.
- **Economic effect.** This measure shut down cross-border arbitrage in German bonds while leaving arbitrage in other assets, such as British Consols, intact.
- **Interpretation.** Because identical bonds could no longer flow from junior to senior creditors, differences in expected treatment by Germany could now show up in yields.

2.5 Liquidity measurement

- **Challenge.** Direct bid-ask quotes and trading-volume series are unavailable for these sovereign bonds.
- **Solution.** The paper uses Roll’s (1984) implicit effective bid-ask spread, based on the serial covariance of returns.
- **Notation.** For market i , liquidity is proxied by L_i , the mean proportional effective bid-ask spread.

2.6 Event-study data

- **Sources.** The *Financial Times* and the *Chronicle of International Events*.
- **Event sample.** 146 event days, each coded as positive or negative for bondholders.
- **Three event types.** (i) news affecting all creditors, (ii) news affecting only the senior creditor country (the UK), and (iii) news affecting one or two junior creditor countries (France, the Netherlands, or Switzerland) but not the UK.
- **Why this matters.** The event classification lets the authors distinguish general default news from truly selective-default news.

3 Models and empirical specifications

3.1 Baseline pricing framework

Let j denote a junior creditor country and s a senior creditor country. Bonds are one-period, zero-coupon claims with face value 1, investors are risk-neutral, and recovery is normalized to zero. Let θ_t be the risk-neutral probability of default on junior creditors and let π_t be the conditional probability that senior creditors are spared if default occurs. Let r_t be the risk-free rate and ψ_{it} a liquidity premium in market i .

$$y_{jt} = r_t + \theta_t + \psi_{jt}. \quad (1)$$

$$y_{st} = r_t + \theta_t(1 - \pi_t) + \psi_{st}. \quad (2)$$

$$y_{jt} - y_{st} = \theta_t\pi_t + (\psi_{jt} - \psi_{st}). \quad (3)$$

- **Interpretation.** The junior-market yield equals the risk-free rate plus full default risk plus liquidity. The senior-market yield loads only on the part of default risk that survives after the probability of selective protection for seniors is accounted for.
- **Key implication.** The yield spread between junior and senior markets decomposes into two pieces: selective-default risk and a liquidity differential.
- **Economic intuition.** A higher π_t means the debtor is more likely to default selectively in a way that hurts junior creditors but protects senior creditors.

3.2 Integrated versus segmented markets

- **Integrated markets.** If secondary markets are integrated, arbitrage forces y_{jt} and y_{st} together up to transaction costs, and the same bond must have essentially the same liquidity premium in both markets.
- **Main theoretical lesson.** In integrated markets, no substantial selective-default risk can be priced because junior creditors can sell to senior creditors.
- **Segmented markets.** Once cross-border trading is blocked, the same bond can trade at different yields in different countries and creditor-specific expected treatment becomes priceable.

3.3 Selective-default probabilities under segmentation

$$\theta_t \pi_t = y_{jt} - y_{st} - (\psi_{jt} - \psi_{st}). \quad (4)$$

$$\pi_t = \frac{y_{jt} - y_{st} - (\psi_{jt} - \psi_{st})}{y_{jt} - r_t - \psi_{jt}}. \quad (5)$$

- **Unconditional selective-default risk.** Equation (4) is the risk-neutral probability that the debtor defaults on junior creditors but spares seniors.
- **Conditional selective-default risk.** Equation (5) is the probability that seniors are spared, conditional on some default occurring.
- **Interpretation of extremes.** If the senior-market yield approaches the risk-free rate, π_t approaches 1. If senior and junior yields converge, π_t approaches 0.

3.4 High-frequency segmentation test: local projections

$$\Delta y_{b,t+h}^{\text{Paris}} = \alpha_{b,h} + \sum_{l=0}^4 \beta_{b,h,l} \Delta y_{b,t-l}^{\text{London}} + \sum_{l=1}^4 \gamma_{b,h,l} \Delta y_{b,t-l}^{\text{Paris}} + \varepsilon_{b,t+h}, \quad h = 0, \dots, 4. \quad (6)$$

- **Purpose.** This Jordà local-projections regression checks whether Paris Dawes yields still adjust quickly to London shocks after legal segmentation.
- **Control asset.** The same exercise is run for British Consols, which remain freely arbitrageable.
- **Interpretation.** If segmentation is effective, Paris Dawes yields should stop reacting like Paris Consol yields after June 1934.

3.5 Liquidity elasticity regression

$$(y_j - y_s)_{jt} = \delta(L_j - L_s)_{jt} + \gamma_{jm} + \eta_t + \varepsilon_{jt}. \quad (7)$$

- **Dependent variable.** The Dawes bond yield spread between a continental market j and London s .
- **Regressor of interest.** The bid-ask spread differential between the same continental market and London.
- **Fixed effects.** Market-by-month fixed effects absorb slowly moving market-specific credit risk, while day fixed effects absorb shocks common to all continental markets.
- **Why this matters.** Estimating δ lets the authors translate observed bid-ask differentials into implied liquidity premiums and check whether liquidity can explain cross-market yield spreads.

3.6 Yield decomposition

$$y_{jt} = r_t + \theta_t(1 - \pi_t) + \psi_{st} + \theta_t \pi_t + (\psi_{jt} - \psi_{st}). \quad (8)$$

- **Interpretation.** Junior-market yields can be read as the sum of a risk-free rate, general default risk priced in the senior market, the senior-market liquidity premium, selective-default risk, and an extra liquidity premium for the junior market.

- **Empirical implementation.** r_t is proxied by the British Consol yield; ψ_{st} and $(\psi_{jt} - \psi_{st})$ are constructed from bid-ask differentials and the conservative estimate $\delta = .23$.

3.7 Event-study specification for news affecting all or senior creditors

$$SDR_{jte} = \alpha + \beta_N News_t + \delta(L_{jte} - L_{ste}) + \gamma_{je} + \varepsilon_{jte}. \quad (9)$$

- **Dependent variable.** SDR_{jte} is either unconditional selective-default risk, $(y_{jte} - y_{ste})$, or conditional selective-default risk, $\frac{y_{jte} - y_{ste}}{y_{jte} - r_{te}}$.
- **Event window.** Five days before to five days after each event.
- **Interpretation.** β_N measures how selective-default risk changes after the arrival of a given class of news.

3.8 Difference-in-differences event study for junior-specific news

$$SDR_{jte} = \alpha + \beta_{NT} News_t \times Treated_{je} + \eta_{Ne} + \gamma_{je} + \varepsilon_{jte}. \quad (10)$$

- **Purpose.** When only one or two junior creditor countries are affected by the news, the untreated junior markets provide a natural control group.
- **Interpretation.** β_{NT} captures how selective-default risk moves in treated junior markets relative to untreated junior markets after the news arrives.
- **Identification gain.** This is the cleanest specification for isolating creditor-specific news from general Germany-wide shocks.

4 Identification and instruments (what makes the estimates credible)

4.1 There is no instrument; identification is institutional

- **No IV strategy.** The paper does not use an instrumental variable. Its identification comes from a sharp institutional change in market structure.
- **Key comparison.** Before June 1934, identical bonds traded in integrated markets; after June 1934, the same bonds traded in segmented markets.
- **Why this is powerful.** Because the security is literally the same bond across locations, the authors avoid the usual problem that cross-bond yield differences reflect maturity, coupon, currency, governing-law, or covenant differences.

4.2 Why the selective-default interpretation is credible

- **Same contract, different prices.** London, Paris, Amsterdam, and Zurich trade the same sterling Dawes bond. When Paris and London still receive the same coupons, any persistent yield differential is hard to rationalize without creditor-specific default expectations.
- **Legal market segmentation.** Affidavit rules and nationality-specific settlement arrangements made arbitrage technically impracticable after June 1934.

- **Price-based validation.** Dawes yield correlations with London fall sharply after segmentation, while British Consol correlations do not.
- **Quantity-based validation.** Archival evidence shows substantial cross-border movement of Dawes bonds before 1934 and essentially no movement between 1934 and 1936.
- **Liquidity is too small.** Estimated liquidity premiums are tiny relative to 5–6 percentage point yield spreads.
- **Additional concerns.** The paper explicitly discusses and rejects alternative explanations such as war-risk differences, home-currency bias, asymmetric information, different market prices of risk, and different expected recovery rates.

4.3 Economic interpretation of seniority

- **Not legal seniority.** British bondholders were not contractually senior.
- **De facto seniority.** They were effectively senior because Germany feared British trade and financial retaliation more than retaliation from continental creditors.
- **Empirical implication.** Selective-default risk is fundamentally about relative bargaining power and sanction capacity, not just debt-contract terms.

5 Tables and figures

5.1 Figure 1: Dawes bonds' price and yield-to-maturity, 1930–1939

Read:

- Before June 1934, prices and yields are tightly clustered across London, Paris, Amsterdam, and Zurich. This is what integrated markets with active arbitrage should look like.
- After June 1934, the same bond trades at persistently lower yields in London than on the continent. The London–Paris divergence is especially striking because French and British bondholders still receive identical cash flows until 1938.
- The figure is the raw-picture summary of the paper: segmentation makes creditor-specific pricing visible.

5.2 Table 1: Yield correlations between continental markets and London

Read:

- Before segmentation, Dawes yield correlations with London are 0.95–0.99, basically the same as for the British Consol.
- After segmentation, Dawes correlations fall to about 0.82–0.84 while the Paris–London Consol correlation stays at 0.99.
- The message is not that markets became unrelated. It is that a London shock no longer passes through to continental Dawes prices the way it does for freely arbitrageable bonds.

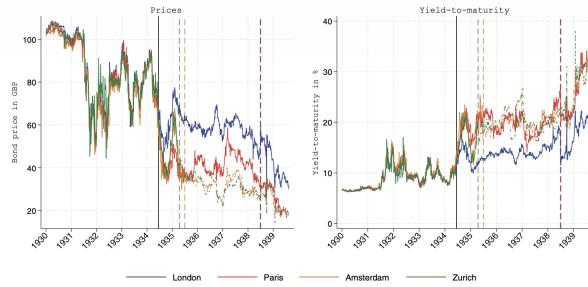


Figure 1
Daves bonds' price and yield-to-maturity, 1930-1939
The panels plot the daily prices and yields-to-maturity of Daves bonds denominated in British pounds (GBP) on the London, Amsterdam, Paris, and Zurich markets from January 1930 to August 1939 (see [Internet Appendix A.1.2](#) for sources). The solid vertical lines represent the beginning of geographical market segmentation on June 14, 1934. The dashed vertical lines represent the date of the first coupon reduction for bondholders of each market central to this study (Zurich: April 17, 1935; Amsterdam: June 14, 1935; London: July 1, 1938; Paris: July 1, 1938; see also [Internet Appendix A.1.2](#) for details). French and U.K. bondholders received equal treatment from the German government throughout the period.

Table 1
Yield correlations between continental markets and London market

Period:	Paris	$\rho_{\text{Daves Amsterdam}}$	Zurich	$\rho_{\text{Consol Paris}}$
Before segmentation	0.99***	0.99***	0.95***	0.99***
After segmentation	0.84***	0.84***	0.82***	0.99***

The table displays correlations of daily Daves bond yields-to-maturity between each continental creditor market (Paris, Amsterdam, and Zurich) and the London market. The table also reports the correlation of daily yields-to-maturity for the British Consol between the Paris and London markets. "Before segmentation" refers to the period from January 1, 1930, to June 14, 1934. "After segmentation" refers to the period from June 15, 1934, to August 31, 1939.

5.3 Figure 2: Impulse responses for Paris market in response to London shock

Read:

- Before segmentation, Daves and Consol yields in Paris both adjust almost fully within about three days after a London shock.
- After segmentation, Paris Consol yields still adjust quickly, but Paris Daves yields do not. The Daves response becomes much smaller and statistically weak.
- This is a clean dynamic test that June 1934 created actual segmentation, not just a temporary widening of spreads.

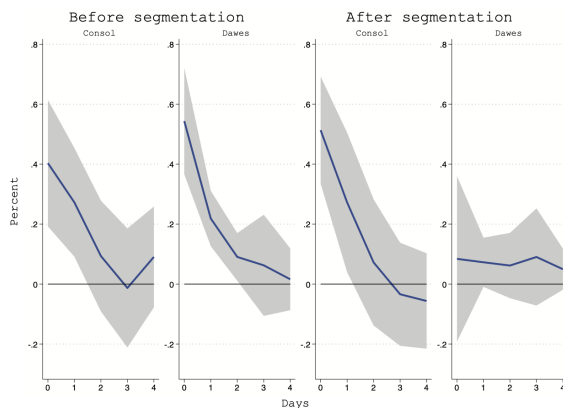


Figure 2
Impulse response functions for Paris market in response to London shock
The panels depict impulse responses on the Paris market to a 1-percentage-point shock on the Daves bond's and Consol's yield-to-maturity in London. The impulse responses are estimated using [Jorda's \(2005\)](#) local projections approach with a horizon of 5 days. Missing values in both data series are treated as if there was no trade and thus they are replaced with the most recent previously available value. "Before segmentation" refers to the period from January 1, 1930, to June 14, 1934, and "After segmentation" refers to the period from June 15, 1934, to August 31, 1939. The gray-shaded areas reflect 99% confidence bands. For details on the bond yield data, see [Internet Appendix A.1](#).

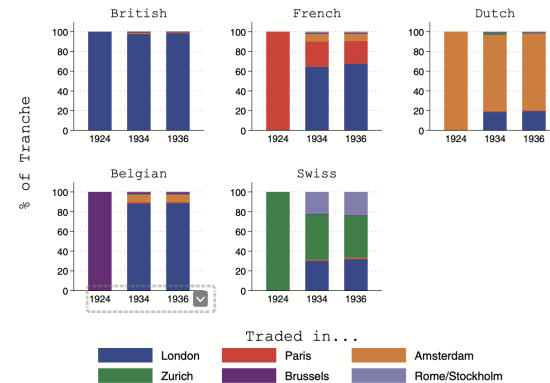


Figure 3
Circulation of the various GBP Daves bond tranches in European bond markets
These panels show the share of outstanding German GBP Daves bonds of each tranche of issue held in each foreign European creditor market in 1924 (issue date), 1934, and 1936. For each tranche and year, the blue, red, orange, green, dark-purple, and light-purple bars correspond to the share of bonds of each tranche held in London, Paris, Amsterdam, Zurich, Brussels, and Rome/Stockholm, respectively. The total volume of Daves bonds circulating on foreign European markets decreased significantly between 1924 and 1934 as the German government progressively redeemed parts of the tranches and encouraged the repatriation of foreign bonds to Germany (see [Khug 1993](#); [Papadix and Schioppa 2023](#)). Shares of redeemed and repatriated bonds are not shown in the figure. Data for 1934 and 1936 were computed from the Bank of England archives: OV34/281 (interest payments), OA-26-2 (amounts outstanding). See [Internet Appendix A.1.5](#) for more details on the calculation.

5.4 Figure 3: Circulation of the various sterling Daves tranches across European markets

Read:

- Cross-border trading before 1934 was substantial. By 1934, 64% of the French tranche and 88% of the Belgian tranche circulating on foreign markets were in London; 30% of the Swiss tranche and 19% of the Dutch tranche were also in British hands.
- Between 1934 and 1936, the geographic distribution barely changes. That is direct quantity evidence that arbitrage stopped.
- The broader lesson is important: before segmentation, junior creditors were already selling to senior creditors, exactly as theory predicts when investors anticipate future discrimination.

5.5 Table 2: Implicit bid-ask spreads

Read:

- Dawes bonds are liquid by the standards of the 1930s: mean effective spreads are 0.60% in London, 0.89% in Paris, 1.95% in Amsterdam, and 1.52% in Zurich.
- The relevant cross-market liquidity differentials relative to London are small: 0.30 percentage points for Paris, 1.35 for Amsterdam, and 0.93 for Zurich.
- These numbers are much too small to explain cross-market yield spreads of roughly 6 percentage points.

Table 2
Implicit bid-ask spreads

Dawes bond traded in:	Mean effective bid-ask spread (in %)		
	L_i	$L_j - L_s$	$L_i - L_r$
London	0.60	–	0.33
Paris	0.89	0.30	0.63
Amsterdam	1.95	1.35	1.69
Zurich	1.52	0.93	1.26

This table reports the mean daily effective proportional bid-ask spread of the German Dawes bond in London, Paris, Amsterdam, and Zurich, estimated using Roll's (1984) method over the June 1934 15, to August 31, 1939, period (L_j). Following Roll (1984), we estimate the bid-ask spread in each market i as $L_i = 200 \times \sqrt{-\text{cov}(R_{i,t}, R_{i,t-1})}$, where R_i is the log-difference of the bond price over the previous trading day. Serial covariance is calculated based on a 21-day time window as suggested by Roll (1984). The table also reports the bid-ask spread differential between each continental market j and the London market s ($L_j - L_s$) as well as the differential between the Dawes bond's bid-ask spread on each market i and the bid-ask spread of the British Consol ($L_i - L_r$). See Appendix A.1.4 for details on the calculations and for comparisons with an alternative liquidity proxy in the spirit of Lesmond, Ogden, and Trzcinka (1999).

Table 3
Liquidity differentials and bond yield spreads across markets

Elasticity estimate	Dependent variable: Yield-to-maturity spread over London ($y_j - y_s$) _{t}			
	Sample			
	(1) Without extrapolated data	(2) Last available yield extrapolation		
	Point estimate	90% CI	Point estimate	90% CI
δ (Bid-ask spread differential)	.10** (0.05)	[0.02; 0.18]	0.13** (0.06)	[0.03; 0.23]
Fixed effects				
Trading day	✓		✓	
Month i. S. x market	✓		✓	
Observations	463		636	
Adjusted R^2	.91		.90	
Implied liquidity premiums	Mean implied liquidity premium over London: $\psi_j - \psi_s$, (in %)			
Paris Dawes	0.03	[0.01; 0.05]	0.04	[0.01; 0.07]
Amsterdam Dawes	0.14	[0.03; 0.24]	0.18	[0.04; 0.31]
Zurich Dawes	0.09	[0.02; 0.17]	0.12	[0.03; 0.21]

The table's upper panel reports the results of regressions of the daily Dawes bond yield-to-maturity spread (relative to London) on the corresponding bid-ask spread differential. The time window spans from the introduction of trading restrictions (June 15, 1934) just until before the negotiations about the partial default of Switzerland were concluded (April 15, 1935). Column 1 reports the results for a sample in which missing yield observations are treated as missing. Column 2 reports the estimates for a sample in which missing yield observations are replaced with the latest recorded values. Standard errors are clustered on the day and on the "market" $\times$ "month in sample" dimension. The table's lower panel reports mean implied liquidity premiums for Dawes bonds in each continental market (Paris, Amsterdam, and Zurich) based on the corresponding estimates of elasticity δ (midpoint, lower, and upper bounds). For any given day and market, an implied liquidity premium is obtained by multiplying the bid-ask spread differential ($L_j - L_s$) with δ . The reported premiums in the table correspond to the average over the June 15, 1934, to August 31, 1939 period. * $p < .1$; ** $p < .05$; *** $p < .01$.

5.6 Table 3: Liquidity differentials and bond yield spreads

Read:

- The estimated elasticity of the yield spread with respect to the bid-ask spread differential is modest: around 0.10 to 0.13.
- Even using the conservative upper end of the confidence interval, implied liquidity premiums over London are tiny: roughly 0.04% for Paris, 0.18% for Amsterdam, and 0.12% for Zurich on average.
- This table is the paper's most important "not liquidity" result. It clears the path for interpreting the residual yield spread as selective-default risk.

5.7 Figure 4: Decomposition of German government bond yields

Read:

- Before June 1934, continental-London yield differences are basically arbitrage costs. After segmentation, a large selective-default component appears in Paris, Amsterdam, and Zurich.
- Mean estimated selective-default risk after June 1934 is about 6.3% for French bondholders, 5.9% for Dutch bondholders, and 5.6% for Swiss bondholders. General default risk priced in London is about 11.4%, and the risk-free rate is about 3.2%.
- The visual takeaway is that selective-default risk is first-order, whereas liquidity remains visually negligible.

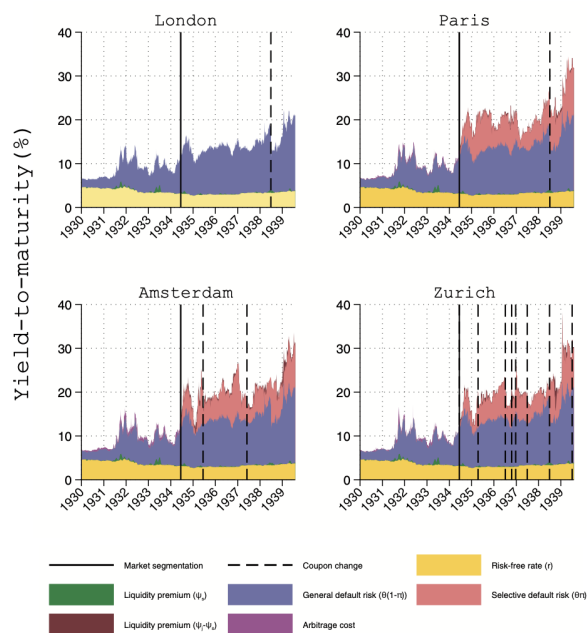


Figure 4
Decomposition of German government bond yields
These panels plot the decomposition of the yield-to-maturity of the sterling Dawes bond (German government bond) in London, Paris, Amsterdam, and Zurich from January 1, 1930, to August 1, 1939. In all four panels, the vertical solid line represents the German debt moratorium of June 14, 1934 (and beginning of market segmentation). The dashed vertical lines represent changes in the coupon (see Internet Appendix A.1.3 for details). Before June 15, 1934, European markets for German bonds were integrated and the bond yield spread between each continental market and London therefore corresponded to the transaction cost of arbitraging bonds between markets.

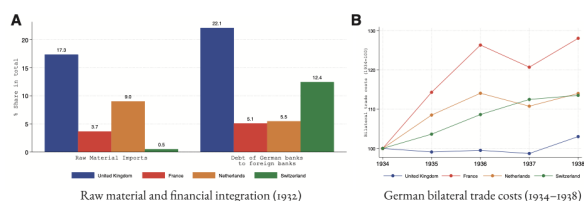


Figure 5
Indicators of Germany's economic integration in the 1930s
Panel A plots the share of the respective creditor country in the total of German raw material imports in 1932 (left) and the total debt of German banks to foreign banks as of November 30, 1932 (right). The overall exposure of German banks to foreign banks was substantial at about 6% of national income. Sources are detailed in Internet Appendixes A.4.1 and A.4.2. Panel B shows the annual bilateral trade costs between Germany and the four European creditor countries from 1934 to 1938. The data are from Jacks, Meissner, and Novy (2011) for the United Kingdom, France, and the Netherlands. Data for Switzerland are our own estimates (see Internet Appendix A.4.3).

5.8 Figure 5: Germany's economic integration with creditor countries

Read:

- Panel A shows why Britain is special. The UK supplied 17.3% of German raw-material imports in 1932 and accounted for 22.1% of German banks' foreign-bank debt, much more than France or the Netherlands.
- Switzerland is financially important too, but far less important as a raw-material supplier. The economic leverage mix is strongest for Britain.
- Panel B shows that Germany's bilateral trade costs remain comparatively low with the UK after 1934 but rise sharply with France, the Netherlands, and Switzerland. This fits the narrative

that Britain secured the most favorable treatment.

5.9 Table 4: Event taxonomy

Read:

- The authors classify 24 positive and 43 negative events affecting all creditors, 27 positive and 8 negative events affecting only the senior creditor, and 22 positive and 9 negative events affecting one or two junior creditors.
- The sign predictions are intuitive: good news for seniors should raise selective-default risk for juniors, while good news for juniors should lower it.
- This table clarifies the logic of the later regressions: not all “Germany news” should move selective-default risk in the same direction.

Table 4
The events data set

	Type: Event affects...	Pos./Neg.	Number	Expected change in selective default risk:	
				Unconditional	Conditional
(i) All creditors	(j; s)	Pos. — Neg.	24 — 43	+ / 0 / — + / 0 / —	+ / 0 / — + / 0 / —
(ii) Most senior creditor only	(s)	Pos. — Neg.	27 — 8	— + — — — — — + — — — —	— + — — — — — + — — — —
(iii) 1 or 2 of the 3 junior creditors	(j)	Pos. — Neg.	22 — 9	— — — — — + — — — — — +	— — — — — + — — — — — +

This table presents the number of occurrences of various types of events included in the event study analysis. Events were identified using two sources: the *Financial Times (FT)* and the *Chronicle of International Events (Chronicle)*. See text for details.

Table 5
News pertaining to all creditors

A. Political, trade, and financial news								
	Unconditional risk ($y_j - y_s$) in pp.				Conditional risk ($\frac{y_j - y_s}{y_j - r}$) in pp.			
	pos. news		neg. news		pos. news		neg. news	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
News shock	−0.01 (0.09)	0.02 (0.15)	0.13 (0.10)	0.16 (0.14)	−0.15 (0.39)	0.20 (0.65)	0.09 (0.44)	0.21 (0.63)
Liquidity control	✓	✓	✓	✓	✓	✓	✓	✓
Paris data only								
N (Observations)	368	151	689	266	368	151	689	266
N (Event-market)	62	22	104	39	62	22	104	39
Adjusted R^2	0.96	0.96	0.90	0.94	0.95	0.96	0.92	0.95
Within R^2	0.00	0.02	0.02	0.06	0.01	0.02	0.02	0.03
B. Financial news only								
	Unconditional risk ($y_j - y_s$) in pp.				Conditional risk ($\frac{y_j - y_s}{y_j - r}$) in pp.			
	pos. news		neg. news		pos. news		neg. news	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
News shock	−0.03 (0.10)	0.05 (0.21)	0.34** (0.15)	0.39** (0.14)	−0.44 (0.45)	−0.06 (0.85)	1.02* (0.60)	1.41* (0.77)
Liquidity control	✓	✓	✓	✓	✓	✓	✓	✓
Paris data only								
N (Observations)	287	115	296	107	287	115	296	107
N (Event-market)	49	17	46	16	49	17	46	16
Adjusted R^2	.95	.96	.88	.97	.95	.96	.91	.95
Within R^2	.00	.01	.05	.27	0.02	.01	.04	.21

This table presents the results of event study regressions for news pertaining to all creditors. The liquidity control corresponds to the implicit bid-ask spread differential between the London market s and continental market j estimated using the Roll (1984) method. See text for more details on the specification. Days for which the sources do not report prices are treated as missing. Appendix B.4 reports qualitatively similar results for regressions where missing observations are replaced with the last previously available yield on any given day. Two-wayclustered standard errors (Event-market & date dimension) are in parentheses. * $p < .1$; ** $p < .05$; *** $p < .01$.

5.10 Table 5: News pertaining to all creditors

Read:

- In panel A, general political, trade, and financial news have no robust average effect on selective-default risk. That matches the theory: general news can move senior and junior default risk together.
- In panel B, bad financial news do matter. Negative financial shocks raise unconditional selective-default risk by about 0.34–0.39 percentage points and conditional selective-default risk by about 1.0–1.4 percentage points.
- The interpretation is that bad aggregate financial news make Germany’s repayment constraint tighter, which hurts junior creditors first.

5.11 Table 6: News pertaining to U.K. bondholders only

Read:

- Positive UK-specific news raise conditional selective-default risk strongly: the estimated effect is about 2.7 percentage points.
- The effect on unconditional selective-default risk is smaller, around 0.25 percentage points and only weakly significant.
- This pattern makes sense. Better prospects for British bondholders mostly change who gets hit in default states, not necessarily the overall probability that Germany defaults on someone.

Table 6
News pertaining to U.K. bondholders only

	Unconditional risk ($y_j - y_s$)				Conditional risk ($\frac{y_j - y_s}{y_j - r}$)			
	pos. news		neg. news		pos. news		neg. news	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
News shock	0.25*	0.15	0.15	0.07	2.76***	2.72**	1.51	1.65
	(0.14)	(0.16)	(0.20)	(0.20)	(0.88)	(1.12)	(1.16)	(1.14)
Liquidity control	✓	✓	✓	✓	✓	✓	✓	✓
Paris data only								
N (Observations)	420	164	112	46	420	164	112	46
N (Event-market)	68	24	18	7	68	24	18	7
Adjusted R^2	.94	.98	.88	.78	.91	.95	.87	.89
Within- R^2	.05	.08	.02	.02	.13	.17	.07	.16

This table presents the results of event study regressions for news pertaining to U.K. bondholders only. The liquidity control corresponds to the implicit bid-ask spread differential between the London market s and continental market j estimated using Roll's (1984) method. See text for more details on the specification. Days for which the sources do not report prices are treated as missing. Internet Appendix B.4 reports qualitatively similar results for regressions where missing observations are replaced with the last previously available yield on any given day. Two-way clustered standard errors (Event-market & date dimension) are in parentheses. * $p < .1$; ** $p < .05$; *** $p < .01$.

Table 7
News pertaining to junior creditors only (1 or 2 out of 3)

	Unconditional risk ($y_j - y_s$) in pp.				Conditional risk ($\frac{y_j - y_s}{y_j - r}$) in pp.			
	pos. news		neg. news		pos. news		neg. news	
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)
News shock	-0.45**	-0.44***	0.51*	0.71***	-2.00**	-1.64**	2.21*	3.02***
	(0.20)	(0.15)	(0.26)	(0.20)	(0.89)	(0.62)	(1.14)	(0.85)
Liquidity control	✓	✓	✓	✓	✓	✓	✓	✓
Larger sample								
N (Observations)	269	354	113	200	269	354	113	200
N (Event-market)	44	56	20	34	44	56	20	34
Adjusted R^2	.96	.97	.93	.93	.93	.95	.93	.93
Within- R^2	.32	.31	.36	.35	.22	.20	.65	.55

This table presents the results of event study regressions for news about Germany's relationship with each of the three continental creditor countries (France, the Netherlands, and Switzerland). The liquidity control corresponds to the implicit bid-ask spread differential between the London market s and continental market j estimated using Roll's (1984) method. See text for more details on the specification. Days for which the sources do not report prices are treated as missing. Internet Appendix B.4 reports qualitatively similar results for regressions where missing observations are replaced with the last previously available yield on any given day. Two-way clustered standard errors (event-market & date dimension) are in parentheses. * $p < .1$; ** $p < .05$; *** $p < .01$.

5.12 Table 7: News pertaining to junior creditors only

Read:

- Good news for a treated junior creditor reduce unconditional selective-default risk by about 0.44–0.45 percentage points and conditional risk by about 1.6–2.0 percentage points.
- Bad news for a treated junior creditor increase unconditional selective-default risk by about 0.51–0.71 percentage points and conditional risk by about 2.2–3.0 percentage points.
- This is the sharpest event-study evidence in the paper: selective-default risk really is country-specific and moves with bilateral news.

6 Short summary

- **Conclusion.** Identical sovereign bonds can display large cross-market yield spreads when creditor identity is frozen by market segmentation and investors expect discriminatory default.
- **Intuition.** Britain's superior economic leverage over Germany made British bondholders effectively senior, so continental investors demanded much higher yields.
- **Empirical lesson.** To measure selective-default risk cleanly, one needs both identical bonds and an institutional shock that blocks arbitrage across creditor groups.

7 Conclusion

7.1 Core conclusion (what the paper establishes)

- **Main finding.** Selective-default expectations were priced in German sovereign bond yields during the 1930s once European secondary markets for Dawes bonds became geographically segmented.
- **Magnitude.** Selective-default risk explains around one-third of the spread of German external bonds over the risk-free rate on continental markets.
- **Credibility.** The design is persuasive because it compares the same bond across countries before and after an institutional break that eliminated arbitrage.
- **Liquidity evidence.** Estimated liquidity premiums are an order of magnitude too small to account for the observed yield gaps.
- **Mechanism evidence.** Britain's effective seniority came from Germany's dependence on British trade and finance and from the relatively favorable Anglo-German settlement framework.
- **Dynamic evidence.** Bilateral news, not generic Germany news, is what most strongly moves selective-default risk.

7.2 Economic intuition

- Secondary markets normally dilute creditor identity because the same bond can migrate into the hands of whichever investors are expected to be protected.
- Once governments segment those markets, the debtor can discriminate across creditor groups, and the yield spread across locations becomes a measure of expected discriminatory treatment.
- Selective-default risk is therefore about the interaction between sovereign repayment constraints and the political-economic power of different creditor states.

7.3 Takeaway

This paper turns a historical episode into a very clean asset-pricing identification design. Its key lesson is simple but powerful: selective-default risk becomes visible in prices only when arbitrage no longer allows bonds to flow from vulnerable creditors to protected ones. In the German case, Britain's superior sanction power made British bondholders effectively senior, and financial markets priced that hierarchy very clearly.